SUBCONTRACT AGREEMENT: ROOFING AND SHEET METAL

This Subcontract Agreement (the "Subcontract") is made and entered into as of February 2, 2026 (the "Effective Date"), by and between **Redwood Peak Construction Co.**, a California corporation, California Contractor's License No. 1048827 (Class B), DIR Registration No. 1000062214, with its principal office at 2150 Piner Road, Suite 300, Santa Rosa, California 95403 ("Contractor"), and **Precision Roofing & Sheet Metal**, a California corporation, California Contractor's License No. 987412 (Class C-39 and C-43), DIR Registration No. 1000089537, with its principal office at 3870 Brickway Boulevard, Unit B, Santa Rosa, California 95403 ("Subcontractor").

Contractor has entered into a prime contract dated December 15, 2025 (the "Prime Contract") with the **City of Santa Rosa** ("Owner") for construction of the project known as **Fire Station 5 Replacement**, located at 2001 Stony Point Road, Santa Rosa, California 95407 (the "Project"). Contractor wishes to engage Subcontractor to perform a portion of the work under the Prime Contract, and Subcontractor is willing to perform that work on the terms stated below.

In consideration of the mutual promises in this Subcontract, Contractor and Subcontractor agree as follows.

ARTICLE 1 — DEFINITIONS AND SUBCONTRACT DOCUMENTS

1.1 **Subcontract Documents.** The Subcontract Documents consist of this Subcontract, the Exhibit — Schedule of Values attached to it, the Prime Contract (including its general, supplementary and special conditions), the Project drawings and specifications issued for construction and dated November 7, 2025, all addenda issued before the Effective Date, and all Change Orders issued after the Effective Date. Subcontractor acknowledges that it has received and reviewed the Subcontract Documents or has been given a reasonable opportunity to do so.

1.2 **Flow-Down.** To the extent the provisions of the Prime Contract apply to the Subcontract Work, Subcontractor assumes toward Contractor all obligations that Contractor assumes toward Owner. Contractor shall have the same rights and remedies against Subcontractor that Owner has against Contractor. If a provision of this Subcontract conflicts with the Prime Contract, the provision imposing the stricter requirement on Subcontractor governs, except that the payment terms of this Subcontract govern the payment relationship between Contractor and Subcontractor.

1.3 **Defined Terms.** "Subcontract Work" means the work described in Article 2. "Change Order" means a written instrument signed by Contractor and Subcontractor that changes the Subcontract Work, the Subcontract Sum or the Subcontract Time. "Final Completion" means completion of all Subcontract Work, including punch list items, delivery of all warranties, operation and maintenance data and record documents, and acceptance of the Subcontract Work by Owner's representative. "Day" means a calendar day unless otherwise stated.

ARTICLE 2 — SCOPE OF SUBCONTRACT WORK

2.1 **Work Included.** Subcontractor shall furnish all labor, supervision, materials, equipment, tools, hoisting, transportation and services needed to complete the roofing and sheet metal work for the Project in accordance with the Subcontract Documents. The Subcontract Work includes the work described in the following specification sections:

- Section 07 22 16, Roof Board Insulation and Cover Board - Section 07 41 13, Standing Seam Metal Roof Panels (apparatus bay) - Section 07 54 23, Thermoplastic Polyolefin (TPO) Roofing (living quarters and administration wing) - Section 07 62 00, Sheet Metal Flashing and Trim - Section 07 71 23, Manufactured Gutters and Downspouts - Section 07 72 00, Roof Accessories, including roof hatches, walkway pads and equipment curb flashing

2.2 **Related Requirements.** The Subcontract Work includes all submittals, shop drawings, product data, samples and mock-ups required by the listed sections, as well as coordination with mechanical, plumbing, electrical and photovoltaic trades whose work penetrates or attaches to the roof. Subcontractor shall flash all roof penetrations shown on the drawings or reasonably inferable from them.

2.3 **Work Excluded.** The following are excluded from the Subcontract Work: structural roof deck, wood blocking and nailers (furnished and installed by others), rooftop mechanical equipment, photovoltaic racking and modules, and fall protection anchors that are permanent building elements.

2.4 **Site Conditions.** Subcontractor represents that it has visited the Project site, has become familiar with local conditions and has correlated its observations with the Subcontract Documents. Subcontractor shall inspect substrates before starting each area, and its start of work in an area constitutes acceptance of that substrate, except for latent defects that could not reasonably have been found by inspection.

ARTICLE 3 — SUBCONTRACT SUM

3.1 **Subcontract Sum.** Contractor shall pay Subcontractor the sum of **Three Hundred Eighty-Five Thousand Dollars ($385,000.00)** (the "Subcontract Sum") for full performance of the Subcontract Work, subject to additions and deductions by Change Order as provided in this Subcontract.

3.2 **Taxes and Costs Included.** The Subcontract Sum includes all applicable sales and use taxes, prevailing wages, fringe benefits, payroll taxes, permits that are the responsibility of Subcontractor under the Subcontract Documents, and the cost of the payment and performance bonds required by Article 11.

3.3 **Schedule of Values.** The Subcontract Sum is allocated as shown in the Exhibit — Schedule of Values. The Schedule of Values shall be used only to evaluate progress payment applications and shall not change the Subcontract Sum.

ARTICLE 4 — TIME AND SCHEDULE

4.1 **Subcontract Time.** Subcontractor shall begin the Subcontract Work on the date stated in Contractor's written notice to proceed. It shall then carry out the work diligently and in accordance with Contractor's construction schedule, as Contractor updates that schedule from time to time. Time is of the essence of this Subcontract.

4.2 **Dry-In Milestone.** Subcontractor shall achieve weather-tight dry-in of the apparatus bay roof and the living quarters roof within the durations shown in Contractor's baseline schedule. Subcontractor shall give priority to the dry-in milestone over finish sheet metal work.

4.3 **Coordination.** Subcontractor shall attend Contractor's weekly coordination meetings. Subcontractor shall give Contractor at least five (5) working days' notice before each mobilization to a new roof area.

4.4 **Delays.** If Subcontractor is delayed by causes beyond its control and without its fault, it may request an extension of time by giving Contractor written notice within seven (7) days after the delay begins. Subcontractor shall be entitled to an extension of time or additional compensation for delay only to the extent Contractor obtains corresponding relief from Owner. Weather delays shall be handled in the same manner as under the Prime Contract.

ARTICLE 5 — PROGRESS PAYMENTS

5.1 **Applications for Payment.** By the twentieth (20th) day of each month, Subcontractor shall submit to Contractor an application for payment for Subcontract Work performed through the end of that month. Each application shall be itemized according to the Schedule of Values, shall include certified payroll records for the period and shall be accompanied by the lien waivers required by Article 8. Contractor may adjust an application to reflect its good-faith evaluation of the work actually completed and will include the approved amount in its own application to Owner.

5.2 **Pay When Paid.** Contractor shall pay Subcontractor each approved progress payment, less retainage and any amounts withheld under Article 9, **within seven (7) days after Contractor receives payment from Owner** for the Subcontract Work covered by that application. The parties agree in writing that Contractor's receipt of payment from Owner fixes the time when Contractor's payment to Subcontractor becomes due.

5.3 **Amount of Progress Payments.** Each progress payment shall equal the value of Subcontract Work properly completed, plus the value of materials suitably stored as permitted under Article 6. From that total Contractor shall deduct retainage under Article 7, previous payments and any amounts withheld under Article 9.

5.4 **Payment Not Acceptance.** No progress payment shall be considered acceptance of defective or nonconforming work. Use of any part of the Subcontract Work by Owner or Contractor is likewise not acceptance of that work.

5.5 **Final Payment.** Final payment, including retainage, shall be made as provided in Article 7. It is subject to Subcontractor's delivery of the final unconditional waivers, warranties and closeout documents required by the Subcontract Documents.

ARTICLE 6 — STORED MATERIALS

6.1 **Materials Stored On Site.** Contractor may include in a progress payment the value of materials and equipment delivered to the Project site and suitably stored there for later incorporation into the Subcontract Work. This applies only if the materials are protected from weather, theft and damage and are listed separately in the application for payment with supporting invoices.

6.2 **Materials Stored Off Site.** **Materials stored off site are payable only with Contractor's prior written approval, proof of insurance, and a bill of sale transferring title.** If Subcontractor seeks payment for off-site materials, it shall request Contractor's approval in writing before including those materials in an application for payment. The request shall identify the materials, their quantity and value, and the address of the storage location. With the application, Subcontractor shall deliver:

(a) a certificate of insurance covering the materials at the storage location and in transit for their full replacement value, naming Contractor and Owner as loss payees; and

(b) a bill of sale transferring title to the materials to Owner, or to Contractor for transfer to Owner, free of all liens and encumbrances.

6.3 **Further Conditions.** Off-site materials shall be segregated, clearly marked for the Project and made available for inspection by Contractor and Owner on reasonable notice. Approval for one shipment or storage location does not extend to any other. Payment for any stored materials, on site or off site, does not relieve Subcontractor of responsibility for loss of or damage to those materials until they are incorporated into the Subcontract Work and accepted.

ARTICLE 7 — RETAINAGE

7.1 **Retainage Withheld.** **Contractor shall withhold retainage of five percent (5%) from each progress payment to Subcontractor.** Retainage applies to the value of completed work and of stored materials included in the payment.

7.2 **Release of Retainage.** Retainage becomes payable upon both (a) Final Completion of the Subcontract Work and (b) Contractor's receipt of retention from Owner covering the Subcontract Work. **Contractor shall release retainage to Subcontractor within ten (10) days after Final Completion of the Subcontract Work and Contractor's receipt of retention from Owner.** The release is subject to any amounts Contractor is entitled to withhold under Article 9, and Contractor shall identify those amounts to Subcontractor in writing.

7.3 **Conditions to Release.** Before retainage is released, Subcontractor shall deliver to Contractor:

(a) the manufacturer's roofing system warranties and Subcontractor's workmanship warranty; (b) record drawings showing any field changes to roof drainage, penetrations and flashings; (c) maintenance instructions; and (d) the conditional final waiver required by Article 8.

ARTICLE 8 — LIEN, STOP PAYMENT NOTICE AND PAYMENT BOND WAIVERS

8.1 **Conditional Waiver Before Progress Payment.** **As a condition of receiving each progress payment, Subcontractor shall deliver to Contractor a conditional waiver and release on progress payment covering the amount requested.** The waiver shall be delivered with the application for payment.

8.2 **Unconditional Waiver After Payment.** **After Subcontractor receives each progress payment, Subcontractor shall deliver to Contractor an unconditional waiver and release on progress payment for the amount received.** The unconditional waiver is due no later than the date of Subcontractor's next application for payment. Contractor may withhold the next payment until it receives the unconditional waiver. In the same manner, Subcontractor shall deliver a conditional waiver and release on final payment with its final application, and an unconditional waiver and release on final payment after it receives final payment, including retainage.

8.3 **Statutory Forms Required.** **Every waiver and release delivered under this Subcontract shall be in the form prescribed by California Civil Code Sections 8132, 8134, 8136 and 8138, as applicable.** Contractor will not accept any waiver that departs from the statutory form. Subcontractor shall complete each form accurately, including the identification of the Project, Owner and amounts.

8.4 **Lower-Tier Waivers Required.** **With each application for payment, Subcontractor shall also deliver conditional and unconditional waivers, in the same statutory forms, from each of its sub-subcontractors and material suppliers whose labor or materials are included in that application.** Lower-tier conditional waivers

shall cover the current request. Lower-tier unconditional waivers shall cover amounts paid from the preceding payment.

8.5 **Stop Payment Notices and Claims.** Subcontractor shall promptly pay all persons furnishing labor, materials or equipment for the Subcontract Work. If a stop payment notice, payment bond claim or other claim is filed arising from the Subcontract Work, Subcontractor shall cause it to be released within ten (10) days after written demand by Contractor. If Subcontractor fails to do so, Contractor may withhold sufficient funds to satisfy the claim and associated costs.

ARTICLE 9 — BACKCHARGES, SETOFF AND WITHHOLDING

9.1 **Backcharge Setoff.** **Contractor may set off against any amount due to Subcontractor, including retainage, the amount of any backcharge for costs Contractor incurs because of Subcontractor's failure to perform under this Subcontract.** Backcharges include costs of cleanup, protection, temporary weather protection, damage to the work of other trades and supplementing Subcontractor's forces. Except in an emergency, Contractor shall give Subcontractor written notice and forty-eight (48) hours to cure before incurring a backcharge. Contractor shall support each backcharge with reasonable documentation.

9.2 **Withholding for Defective Work.** **Contractor may withhold from any payment an amount sufficient to cover the cost of correcting defective or nonconforming Subcontract Work until that work is corrected and accepted.** Defective work includes work that fails inspection, fails a water test, or does not comply with the manufacturer's installation requirements needed to obtain the specified warranty. Contractor shall release the withheld amount with the next regular payment after the correction is accepted.

9.3 **Other Withholding.** Contractor may also withhold payment to the extent reasonably necessary to protect Contractor and Owner from:

(a) unreleased stop payment notices or bond claims; (b) Subcontractor's failure to submit certified payroll or required waivers; (c) penalties assessed under the California Labor Code because of Subcontractor's acts or omissions; or (d) a reasonable belief that the remaining balance of the Subcontract Sum will not be enough to complete the Subcontract Work.

9.4 **Notice of Withholding.** Contractor shall notify Subcontractor in writing of the amount and basis of any withholding at the time the affected payment is made.

ARTICLE 10 — CHANGES IN THE WORK

10.1 **Change Orders.** Contractor may, without invalidating this Subcontract, order changes in the Subcontract Work by written Change Order or written directive. Subcontractor shall not perform extra work without written authorization from Contractor's project manager. Claims for extra work performed without that authorization are waived.

10.2 **Pricing.** Subcontractor shall submit a detailed proposal for each change within five (5) working days after request. The proposal shall break out labor hours at prevailing wage rates, materials, equipment and markup. Markup on self-performed work shall not exceed fifteen percent (15%) for overhead and profit combined. Markup on sub-subcontracted work shall not exceed five percent (5%).

10.3 **Claims.** Subcontractor shall give written notice of any claim for additional cost or time within seven (7) days after the event giving rise to it. Claims involving Owner's acts or omissions shall be processed under

the claims procedure of the Prime Contract, including California Public Contract Code Section 9204 where it applies. Subcontractor shall be bound by the outcome to the same extent Contractor is bound.

ARTICLE 11 — BONDS, INSURANCE AND INDEMNITY

11.1 **Bonds.** Within ten (10) days after the Effective Date, Subcontractor shall furnish payment and performance bonds, each in the full amount of the Subcontract Sum. The bonds shall be issued by a California-admitted surety acceptable to Contractor.

11.2 **Insurance.** Subcontractor shall maintain, at its own expense, the following insurance:

(a) commercial general liability with limits of not less than $2,000,000 per occurrence and $4,000,000 aggregate, including completed operations coverage maintained for five (5) years after Final Completion; (b) automobile liability of $1,000,000 combined single limit; (c) workers' compensation as required by California law, and employer's liability of $1,000,000; and (d) umbrella liability of $5,000,000.

Contractor, Owner and their officers, officials, employees and agents shall be named as additional insureds on the general, automobile and umbrella policies on a primary and noncontributory basis.

11.3 **Hot Work.** If any torch-applied or heat-welded process is used, Subcontractor shall obtain the required hot work permits. It shall maintain a fire watch for at least sixty (60) minutes after hot work ends each day.

11.4 **Indemnity.** To the fullest extent permitted by law, and subject to California Civil Code Section 2782, Subcontractor shall defend, indemnify and hold harmless Contractor, Owner and their officers, employees and agents from claims, losses and expenses arising out of the performance of the Subcontract Work, to the extent caused by the negligence, recklessness or willful misconduct of Subcontractor or anyone for whose acts Subcontractor is responsible.

ARTICLE 12 — WARRANTY

12.1 **Workmanship Warranty.** Subcontractor warrants that the Subcontract Work will be free from defects in materials and workmanship and will conform to the Subcontract Documents. This warranty lasts five (5) years from the date of Owner's acceptance of the Project, or for any longer period required by the specifications.

12.2 **Manufacturer's Warranties.** Subcontractor shall obtain and deliver the following manufacturer's warranties:

(a) a twenty (20) year no-dollar-limit warranty for the TPO roofing system; and (b) a twenty (20) year weathertightness warranty for the standing seam metal roof system.

Subcontractor shall arrange and attend all manufacturer inspections required to issue those warranties.

12.3 **Correction of Work.** Subcontractor shall begin correcting warranty defects within forty-eight (48) hours after notice. For an active roof leak, Subcontractor shall respond within twenty-four (24) hours, recognizing that the Project is an essential services facility.

ARTICLE 13 — LABOR AND PUBLIC WORKS REQUIREMENTS

13.1 **Prevailing Wages.** The Project is a public work. Subcontractor shall pay not less than the general prevailing rates of per diem wages determined by the Director of Industrial Relations. Subcontractor shall comply with California Labor Code Sections 1720 through 1861.

13.2 **Registration and Payroll.** Subcontractor shall remain registered with the Department of Industrial Relations under Labor Code Section 1725.5 throughout the Subcontract Work. Subcontractor shall submit certified payroll records electronically to the Labor Commissioner and shall give copies to Contractor with each application for payment.

13.3 **Apprentices.** Subcontractor shall comply with Labor Code Section 1777.5 regarding employment of apprentices.

13.4 **Safety.** Subcontractor shall comply with Cal/OSHA regulations. This includes Title 8 requirements for fall protection on roofs. Subcontractor shall submit a site-specific fall protection plan before mobilization.

ARTICLE 14 — DEFAULT AND TERMINATION

14.1 **Default.** If Subcontractor fails to supply enough skilled workers or proper materials, fails to keep to the schedule, fails to pay its lower tiers, or otherwise materially breaches this Subcontract, Contractor may give written notice of default. If Subcontractor does not begin to cure within three (3) working days and diligently complete the cure, Contractor may:

(a) supplement Subcontractor's forces and charge the cost to Subcontractor; or (b) terminate Subcontractor's right to proceed and complete the work by other means.

Subcontractor shall be liable for the excess cost of completion.

14.2 **Termination for Convenience.** If Owner terminates the Prime Contract for convenience, Contractor may terminate this Subcontract on written notice. In that case Subcontractor shall be paid for work properly performed through the termination date and for reasonable demobilization costs. These payments are made only to the extent Contractor recovers them from Owner, and no payment shall be made for anticipated profit on unperformed work.

14.3 **Substitution of Subcontractor.** Substitution of Subcontractor shall be governed by the Subletting and Subcontracting Fair Practices Act, Public Contract Code Section 4100 and following sections.

ARTICLE 15 — DISPUTE RESOLUTION

15.1 **Negotiation.** The parties shall first try to resolve any dispute through good-faith negotiation between senior representatives. That negotiation shall take place within fourteen (14) days after either party gives written notice of the dispute.

15.2 **Pass-Through Disputes.** Disputes involving Owner's responsibility shall be resolved under the dispute procedures of the Prime Contract. Subcontractor shall cooperate in presenting its claim through Contractor.

15.3 **Litigation.** Disputes not resolved under Sections 15.1 or 15.2 shall be decided in the Superior Court of California, County of Sonoma.

15.4 **Continued Performance.** Pending resolution of any dispute, Subcontractor shall carry on the Subcontract Work. Contractor shall continue to make undisputed payments as provided in this Subcontract.

ARTICLE 16 — GENERAL PROVISIONS

16.1 **Governing Law.** This Subcontract is governed by the laws of the State of California, without regard to its conflict-of-law rules.

16.2 **Assignment.** Subcontractor shall not assign this Subcontract or sublet the whole of the Subcontract Work without Contractor's written consent.

16.3 **Notices.** Notices shall be in writing and delivered by hand, by recognized overnight courier, or by email with confirmation of receipt, to the addresses stated in the preamble or to another address a party designates by notice.

16.4 **Entire Agreement.** This Subcontract, with the Subcontract Documents, is the entire agreement between the parties concerning the Subcontract Work. It replaces all prior proposals and understandings. It may be amended only by a written instrument signed by both parties.

16.5 **Severability.** If any provision of this Subcontract is held unenforceable, the remaining provisions remain in effect. The unenforceable provision shall be limited to the extent necessary to make it enforceable.

16.6 **Counterparts.** This Subcontract may be signed in counterparts and by electronic signature, each of which is considered an original.

IN WITNESS WHEREOF, the parties have executed this Subcontract as of the Effective Date.

REDWOOD PEAK CONSTRUCTION CO. By: _____ Name: Marisol T. Echeverría Title: Vice President, Operations Date: _____

PRECISION ROOFING & SHEET METAL By: _____ Name: Gordon L. Haskell Title: President Date: _____

EXHIBIT — SCHEDULE OF VALUES

Item	Description	Specification Section	Scheduled Value
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1	Mobilization, submittals, shop drawings and mock-ups	Division 01 / 07	$12,000.00
2	Payment and performance bonds	—	$10,000.00
3	Roof board insulation and cover board	07 22 16	$58,000.00
4	TPO membrane roofing, living quarters and administration wing	07 54 23	$112,000.00
5	Standing seam metal roof panels, apparatus bay	07 41 13	$98,000.00
6	Sheet metal flashing and trim	07 62 00	$46,500.00

7	Manufactured gutters and downspouts	07 71 23	$18,000.00
8	Roof accessories: hatches, walkway pads, curb flashing	07 72 00	$21,500.00
9	Warranties, record documents and closeout	Division 01	$9,000.00
	****Subcontract Sum****		****$385,000.00****